3. *The order in which information is required to be submitted.* Subparts A and C of these regulations are, for the most part, the same provisions as those proposed. Subpart B represents a complete reworking of the provisions relating to information required to be submitted to the Administrator. Subpart B delineates the information required to be submitted to the Administrator along the lines of the studies and summary required by section 5(3) of the Act.

Subpart B requests the information required to be submitted to the Administrator in an order different from that found in section 5(3)(f)(iv) of the Act. The nine factors are set up so that the explicit information gathered and findings made for the first six, §§ 268.19 through 268.29 will lead to general summations in the last three, §§ 268.31 through 268.35. The first six factors deal with specific concerns that are highly interactive and provide the foundation for the final three factors, which are intended to provide quantitative summations.

4. *Minimum information required, and additional information.* Section 268.13 clearly states that the requirements of subpart B are the minimum requirements: a filing of data with the Administrator is not effective, and, therefore, the six (6) month period referenced in section 5(3)(b)(ii) does not begin, unless these minimum requirements are met, waived or modified. The FRA is cognizant that numerous kinds of transactions are covered by section 5(3), and that not all information required by §§ 268.19 through 268.35 applies to every transaction that can be proposed, nor can all of the information required by §§ 268.19 through 268.35 always be provided by the submitting parties. Section 268.41 provides a mechanism by which an applicant may request that the Administrator waive or modify any requirement. On the other hand, occasions may also arise where the submission of additional information may be deemed necessary by the Administrator. Section 268.37 provides that the Administrator may require submission of such additional information as he may deem necessary.

Insofar as an applicant seeks the active support of the Secretary in promoting the proposed transaction at the Commission (rather than providing data sufficient to allow the Administrator to comply only with the narrow requirements of the Act), additional information and data may be needed. Applicants wishing such support should note § 268.9 of these regulations which provides that any information submitted which exceeds that required by this part, referred to as supplemental submissions, may be made by any applicant at the time of its initial submission, or at a later date. The Administrator encourages the use of supplemental submissions. The more the initial and supplemental submissions, taken as a whole, resemble the application required by the Commission, the more comprehensive the Administrator's report under section 5(3)(v) can be. If the applicant wants the Administrator to consider any supplemental submissions filed after the initial submission in making his study of the nine statutory factors, then § 268.9 provides for the applicant and the Administrator to agree on a date on which the applicant will file his application with the Commission to enable the Administrator to complete his report prior to that date.

5. *Terminology.* The terminology used in the proposed regulations has been changed so that it is clear that the Administrator does not require submission of the full application ultimately submitted to the Commission. The term "submission" is used to describe the data required to be filed with the Administrator, and the definition of "application" has been amended to refer to the data format required by the Commission. The term "applicant" is defined to refer to any railroad or railroads submitting a consolidation proposal for evaluation by the Administrator and all railroads with properties directly involved in the proposed transaction.

6. *Intent of regulations.* The National Industrial Traffic League filed comments stating that, as a matter of general policy, it supported the adoption of appropriate procedures to expedite the handling of railroad consolidations. The Administrator believes that these revised regulations meet the League's desire to have voluntary consolidations between rail carriers that will strengthen the transportation industry, produce improved service, establish or continue adequate competition in transportation service, and be consistent with the long-range public interest in the maintenance of an adequate common carrier system.

B. INFORMAL PUBLIC HEARINGS

Section 268.11 provides that there will be informal public hearings concerning all material submitted to the Administrator. The AAR suggested that the final regulations should contain a basic outline for participation at the informal hearings, in order to obtain meaningful comments given the short time allotted for the FRA evaluation process. The Administrator finds the comment to be a good one, but would prefer to provide such a basic outline in the notice for each informal hearing. This would afford the type of flexibility which is necessary to accommodate the hearing procedure to the nature of each proposed transaction, and which is implied by the informality of the hearing requirement.

C. AVAILABILITY OF SUBMISSIONS TO STATES

The New York State Department of Transportation recommended that the States receive copies of the submissions filed with the FRA in order to allow them to participate in the public hearings and to assess the effect of a proposed consolidation on the State's economy and transportation network.

The Administrator welcomes New York State's suggestion, and is eager to benefit from any designated State agency's comments concerning the impact of the proposed transaction on the State's economy, transportation system, communities generally, employment, environment, and rail assistance programs. Section 268.7(d) requires each applicant to make a copy of its submission to FRA available to any State Department of Transportation or designated State agency of any State in which any part of the rail facilities of the railroads involved in proposed transaction is situated.

The provision requires the State agency to request a copy of the submission from the applicant, rather than requiring each applicant to automatically file a copy with each affected State, in order to avoid requiring the applicant to duplicate and mail copies of its submission to State agencies that are not interested in studying the entire consolidation proposal. Governors of all States in which any part of the properties of railroads involved in the proposed transaction are situated, receive notice of the filing of the submission, pursuant to section 5(3)(f)(ii) of the Act. A summary and a detailed account of the contents of the proposed transaction will be published in the FEDERAL REGISTER, pursuant to section 5(3)(f)(i) of the Act.

Inflationary Impact Analysis. The Administrator has determined that the issuance of these regulations is not a major proposal under Executive Order 2050.4, February 2, 1976, requiring an inflationary impact evaluation.

Improved Analysis and Review of Regulations. The Administrator has evaluated the adoption of these regulations in accordance with the policies of the Department of Transportation which were stated in the public notice published on April 16, 1976, in the FEDERAL REGISTER (41 F.R. 16200). In response to the public comments received the regulations have been drafted to eliminate, to a substantial degree, the amount of documentation required of applicants. The revised requirements clearly focus on the nine statutory concerns, and are less cumbersome, better organized, and within the capability of railroads to produce. The preparation of the required data will assist applicants in their preparation of formal applications to the Commission, and will assist them and other interested parties in providing information to the Commission regarding factors which the Commission must consider in determining whether to approve the proposed transaction.

Therefore, the Administrator has determined that the adoption of this regulation will have such a minimal cost impact on the private sector, consumers, Federal, state, and local governments that an evaluation of the effects of this regulation is not warranted.

In consideration of the foregoing, 49 CFR Chapter II is amended by adding a new Part 268 to read as follows: